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1. Behavior > Knowledge

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
1	Financial success is driven more by behavior than intelligence	**Principles:** Behavior > IQ; discipline > brilliance **Sayings:** "Good investing is not about IQ, it's about behavior." / "You don't need brilliance, you need discipline." **Ramsey:** Focus on habits (budgeting, Baby Steps), not optimization	1. Teach emotional control first 2. Normalize mistakes 3. Identify habits early 4. Focus on consistency 5. Simplify plans

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2. Luck & Risk

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
2	Outcomes depend on factors outside your control	**Principles:** Luck + risk always present; humility required **Sayings:** "Nothing is as good or bad as it seems." / "Focus on what you can control." **Ramsey:** Build margin (emergency fund), avoid lifestyle inflation	1. Teach humility 2. Avoid comparison 3. Build margin 4. Prepare for randomness 5. Control controllables

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3. Enough

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
3	Chasing more can destroy wealth	**Principles:** Define "enough"; greed kills wealth **Sayings:** "The hardest skill is getting the goalpost to stop moving." / "Enough is realizing you don't need more." **Ramsey:** Reinforce debt-free finish line; prevent lifestyle creep	1. Define "enough" 2. Set ceilings 3. Avoid comparison 4. Protect gains 5. Teach contentment

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4. Compounding

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
4	Small consistent gains create massive outcomes	**Principles:** Time > rate of return; consistency wins **Sayings:** “Compounding is magic.” / “Time is the highest return investment.” **Ramsey:** Start investing early (Baby Step 4); stay consistent	1. Start early 2. Stay consistent 3. Avoid interruptions 4. Minimize withdrawals 5. Think long-term

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5. Getting vs Staying Wealthy

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
5	Building and keeping wealth require different skills	**Principles:** Wealth = accumulation; staying wealthy = survival **Sayings:** “Getting money requires risk. Keeping it requires humility.” / “Survival is the ultimate strategy.” **Ramsey:** Avoid leverage; reduce risk after success	1. Shift mindset post-success 2. Prioritize preservation 3. Avoid big risks 4. Build redundancy 5. Stay humble

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6. Tail Events

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
6	A few big events drive most outcomes	**Principles:** Outliers matter most; survival is key **Sayings:** “Most of the time nothing happens. Then everything happens.” / “You must survive to win.” **Ramsey:** Stay invested; avoid panic decisions	1. Stay invested 2. Accept volatility 3. Avoid panic selling 4. Focus long-term 5. Ignore noise

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7. Freedom = Wealth

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
7	Money’s purpose is control over your time	**Principles:** Wealth = freedom; independence > status **Sayings:** “The highest dividend money pays is freedom.” / “Control over your time is the ultimate luxury.” **Ramsey:** Frame Baby Steps as path to freedom	1. Define freedom goals 2. Reduce obligations

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
			3. Build flexibility 4. Create passive income 5. Prioritize time control

8. Saving Without a Goal

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
8	Saving creates flexibility even without a plan	**Principles:** Savings = options; flexibility > precision **Sayings:** "Savings is a hedge against life's surprises." / "Money buys options." **Ramsey:** Emergency fund + margin mindset	1. Encourage saving habit 2. Build buffers 3. Reduce reliance on prediction 4. Emphasize flexibility 5. Reward saving

9. Reasonable > Rational

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
9	People act emotionally, not logically	**Principles:** Sustainable > optimal; emotion drives behavior **Sayings:** "Do what lets you sleep at night." / "Reasonable beats optimal." **Ramsey:** Keep plans simple and executable	1. Simplify plans 2. Reduce stress triggers 3. Build sustainable habits 4. Avoid complexity 5. Focus on follow-through

10. Room for Error

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
10	Margin of safety is critical	**Principles:** Survival requires buffers; uncertainty is constant **Sayings:** "Room for error is the only way to survive." / "Expect the unexpected." **Ramsey:** Emergency fund + no debt leverage	1. Build emergency fund 2. Avoid maxing out finances 3. Plan worst-case 4. Reduce fixed costs 5. Maintain buffers

11. You Are Not Crazy

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
11	People's financial decisions are shaped by experience	**Principles:** Context drives behavior; no universal logic **Sayings:** "People do crazy things because they've had different experiences." **Ramsey:** Personalize coaching; address emotional history	1. Understand background 2. Avoid judgment 3. Customize advice 4. Recognize bias 5. Build trust

12. Long-Term Thinking

Category	Current Situation	Principles / Sayings / Ramsey Application	Action Items
12	Wealth requires patience over decades	**Principles:** Time smooths volatility; patience wins **Sayings:** "The big money is in the waiting." / "Time is the secret weapon." **Ramsey:** Reinforce long-term investing discipline	1. Encourage long horizon 2. Reduce short-term focus 3. Ignore noise 4. Track long-term progress 5. Reinforce patience

VERBATIM

SECTION 103: 2026 BOOK 03 - The Psychology of money:

My summary

This book talks about WHY money management is unique to every person group, no cookie cutter answer, about their perspectives- long with Lt them good books on the psychology (of money).

Take aways

- A genius is the man who can do the average when everyone else around him is losing his mind. (Napoleon)

- **1.No ones crazy**
- The premise of this book is that doing well with money has a little to do with how smart you are, and a lot to do with how you behave, and that behavior is hard to teach, even to smart people.

- Voltaire- history never repeats itself, man always does.
- People from different generations, who were raised by different parents and who earned different incomes and different values, raised from different parts of the world, economies, job markets, incentives and luck – learn very different lessons
- Life experiences drive behavior.
- Everyone has a unique perspective.
- The lowest income households spend 4 times as much as the highest income households on lottery tickets ($442)
- For the lowest income the lottery is the dream and they way out
- "What you are doing seems crazy. But I know why you are doing it!"
- Before ww2 most people worked until they died now 25% over 65 do.
- We are newbies to investing – 401k 1978 – Roth 1998 – Dogs have 10000 years and still have their old habits

- **2. Luck and Risk**
- The chances of Bill Gates having access to a computer terminal / computer in 1968 were one in a million (good luck)
- Bill Gates, Paul Allen, ?Kent Evans? Hard working smart but died in a ski accident (bad luck)
- ?Did I make a mistake or duid I just experience the reality of risk?
- Can we tell a lucky break from an extremely shrewd business decision?
- Be careful who you praise and admire – AND be careful who you look down upon and want to avoid. Not all success is due to hard work, and not all failure is due to laziness. Keep this in mind when judging people INCLUDING YOURSELF!
- Bill Gates – success is a lousy teacher – it seduces smart people into thinking they cant lose.
- Failure the same (it could just be risk!)

- **3. Never enough – why rich people do crazy things**
- You can be rich – but all a financially responsible person needs is enough – look at Gupta (Makenzie)
    - 1. The hardest financial skill is getting the goal post to stop moving
    - 2. Social comparison is tough (Rookie baseball salary 500k vs 15m for a good player)
        - People always compare up rather than "be grateful down"
    - 3. "Enough" is not too little.
    - 4. These things are not worth risking:
        - Reputation
        - Freedom and Independence
        - Family and Friends
        - Being loved by those who you want to love you
        - Happiness

- **4.The power of compounding**
- Warren Buffet made all his money by being at it forever, starting young – he made 97% of his money after 65

- Ice age – “Its not the amount of snow that was put on the groud, but the amount that did not melt in the summer”
- 100 years later – glaciers
- Buffet- not just a good investor but also a good investor who started early!
- Shut up and wait 😊

- **5. Getting wealthy and staying wealthy – Good investing is not about making good decisions, its about consistently not screwing up.**
- Staying wealthy is a combination of frugality and paranoia.
- Capitalism is hard – making money and keeping money are 2 different skills – 1929 stock crash for instance. 20% of the Forbes 400 richest Americans disappear every decade for business reasons.
- Yesterdays success does not translate into tomorrows fortune
- Buffet:
    - Did not leverage debt
    - Did not sell during recessions
    - Did not sully his business reputation
    - Did not attach himself to one strategy or world view or trend
    - Used his own money
    - Did not burn out and retire.
- Ideas:
    - 1. Better to be financially unbreakable than getting big returns
    - 2. Plan for your plan to not go to plan.
    - 3. Use a barbell investment strategy (Some long term some venture capital)
- Most companies have gone out of business quickly 102 10% drops in the last 200 years.

- **6.Tails you win – you can be wrong half the time and still make a fortune**
- S and P 500; Nasdaq; usually average but the top several stocks made the fortune (The mag 7), Same with Art portfolios, Same with Walt Disney- SNOW WHITE made them ; Venture capitalizes … 65% lost money, 2.5% made 10 -20x; 1% made >20x; 100 of 21,000 made 50x portfolios matter.
- What you did from 2008 to 2009 made more of a difference than everything you did between 2000 and 2008. (I think I did ok)
- Peter Lynch- If you are terrific you are right 6/10
- A portfolio of attempts
- George Soros “Its not whether you are right or wrong, but how much money you make when you are right or lose when you are wrong

- **7.Freedom-Controlling your time is the biggest dividend that your money pays.**
- The highest form of wealth is being able to say “I can do whatever I want today”.

- Having a strong sense of controlling ones life is a more dependable projector of positive feelings of wellbeing than any other objective conditions of life considered.
- A small amount of wealth means you can take a few days off sickness without breaking the bank
- A bit more means being about to wait for a good job rather than taking the first one available
- 6 months means not being terrified of your boss, because you won't be ruined of you have to take time off to find a job
- Or finding a job with better conditions
- Or retiring.
- REACTANCE: people like being in the driver's seat, when they do not the have this (resistance) – even if what someone is trying to do is in their best interest.
- Rockefeller-"A wise old owl lived in an oak, the more he saw the less he spoke, the less he spoke the more he heard, why aren't we all like that wise bird"
- Even though we, on the average, are richer than ever – control over our time is diminished.

- **8.Man in the car paradox- No one is impressed with your possessions as much as you are. -** People see the rolls, not the owner

- **9. Wealth is what you DON'T see – spending money to show people you have money is the fastest way to lose money.**
- Wealth is the cars NOT purchased, the watches and diamonds NOT worn, the first-class upgrade declined. Wealth is financial assets you haven't yet converted to the stuff you see.
- Exercise is like being rich – you worked out – but wealth is like the diet – if you want health, you need both.
- The financial excellence gap is between what you choose to do and what you can do.

- **10. Save Money-The only thing that you can control generates one of the only things that matter – how wonderful**
- Building wealth has a lot or everything to do with your savings rate.
- The value of wealth is relative to what you need.
- Income-Expense=Wealth (Savings/Assets)
- Past a certain amount of income – what you need is just what sits below your ego....
- One of the most powerful ways to increase your savings isn't to raise your income but ti raise your humility.
- Don't extend your peacock feathers.
- If you desire less, you'll spend less, and if you desires less, you'll care less about what other think about you.
- You don't need a reason to save – not for a goal but for mental well being.
- You need to be flexible more than intelligent

- **11.Reasonable Rational-Aiming to be mostly reasonable works better than trying to be coldly rational.**

- People don't want the mathematically optimized strategy. They want the strategy that maximizes how well they sleep at night.
- Inversion thinking – you know what not to do, so don't do it!
- Making forecasts is reasonable but plan on it not working.

- **12.Surprise! History s a study of change, IRONICALLY used as a map of thr future.**
- Things that have never happened before happening all the time.
- History may teach studies of human nature but not of the market- surprises happen all the time – Be ready by having:

- **13.Room for error**
- Humility is important – have a contingency plan
- Blackjack card counters use 100 units
- You need to have margins of error to make things work
- Buffet – Berkshire Hathaway had more than ample cash
- Microsoft had enough money to pay their employees for a year
- "I will not trade even one night's sleep for a chance at extra profits"
- Don't forget when it rains, it pours
- Aim low – be conservative in your estimates
- Be fault tolerant – plan on your plan not going to plan

- **14. You'll change**
- People change over time, so their goals change over time.
- People know they have changed but assume they will not change over time.
- Compounding-Never interrupt it when not necessary
- Having moderate savings, moderate free time, no more than a moderate commute and moderate time with friends and family increases the chance the plans will succeed.
- Try not to have any "sunk costs"

- **15. Nothings Free – everything has a price, but not all prices are on labels.**
- Every job looks easy when you are not the one doing it.
- A low-cost index fund beats index over time always
- Timing the market does not work

- **16.You and me Beware taking financial cues from people playing a different game**
- People are greedy and greed is an indelible feature of human nature.
- Some people are day traders; some are in for the long term – a different game
- Short termers play the trend or swing or bounce
- Watch out for bubbles – housing or .com come to mind – profits chase themselves but will stop! (Short term)
- An anchor of psychology is not realizing that rational people can see the world through a different lens than your own.

- **17.The seduction of pessimism**
- People like to hear that the world is going to hell.
- Optimism is the belief that the odds of a good outcome are in your favor over time even though there may be setbacks along the road.
- Pessimism just sounds smarter and more plausible than optimism
- Tell somebody you are in danger and you will get their attention.
- But it's all over the place – news loves pessimism
- Organisms that treat threats as more urgent than opportunities have a better chance to survive and reproduce.
- When a negative money event occurs it usually effects everyone.
- Pessimists don't understand how markets adapt to problems – Oil == Fracking
- Pessimists – progress happens so slowly its ignored, but setbacks are too easy to ignore.
- Example took several years before the wright brothers' plane was interesting.
- Expecting things to be bad is the best way to be pleasantly surprised when they are not.

- **18. When you will believe anything – stories etc.**
- Ww2 was tangible damage
- Depressions are economic (narrative) versus the economy (narrative damage)
- Everyone has an incomplete view of the world, but we form a complete narrative to fill in the blanks

- **19. All together now**
- I can't tell you what to do with your money until I know you.
- Go out of your way to find humility when you are right and forgiveness and compassion when things are wrong
- Less ego more wealth
- If you want to do better as an investor, the single thing you can do most is to increase your time horizon.
- Be nicer and less flashy
- Define the cost of success and be ready to pay for it.
- Worship room for error.
  Define the game you are playing
- Respect the mess
- A history of why the US consumer thinks the way they do:
- WW2 ends, fed was controlled by the president – opened the gates – inflation but prosperity
- Everyone had a house – everyone was kind of the same –
- Most men had been in the war and were normalized. Average age 23.
- Credit available GI Bill.
- Easy to buy a small house and call.
- People were uniform
- 1973-1980 depression
- 1981- Supply side – bifurcation
- The end